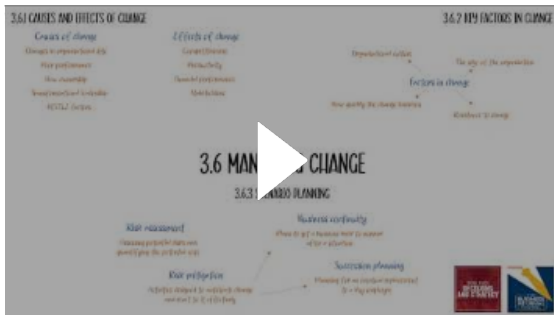


1 - Key factors in Change



Do Now

Extract – Riverton Retail Ltd

Riverton Retail Ltd is a large international retail chain with over 1,200 stores worldwide. In recent years, the business has faced falling sales and increasing competition from online retailers such as Amazon. To survive, Riverton has introduced major changes — including a new online platform, automated checkouts, and cost-cutting measures across its stores.

However, Riverton is known for having a weak organisational culture, with little communication between head office and store staff. Employees often feel disconnected from management and unsure about the company's goals. Many store managers have different ways of working, and there is no clear set of shared values.

As Riverton continues to change quickly, some employees feel anxious and unmotivated. Others are confused about new systems and expectations. The company hopes that modernising will improve efficiency and sales, but it risks losing staff commitment during the transition.

Outline the reasons why Riverton Retail Ltd have encountered difficulties when implementing changes to the business



Learning Outcome

By the end of the lesson you will be able to explain the key internal factors that influence how change is managed in different organisations

To Know



- I know how organisational culture can support or hinder change.
- I know how the size of an organisation affects the complexity and coordination of change.
- I know how the speed or urgency of change influences decision-making and outcomes.
- I know common reasons for resistance to change.
- I know strategies for managing resistance, including communication, involvement, and leadership.

Key factors in change

Key Factors in Change

(in addition to transformational leadership)

Strong or Weak organisational Culture

Due to the existing organisational culture workers may resist change. This is particularly the case if changes are rarely made (workers like the way things are), there is a weak culture with are poor employer/employee relations or a high number of workers have been employed by the business for a long period of time (embedded culture). However, in some organisations there is a very strong culture where workers may embrace changes suggested by owners/management,



Example

A strong culture at Premier Inn makes change easier to manage because employees share the same values of excellent customer service and teamwork. This means staff are more likely to support new ideas, such as introducing digital check-ins or new cleaning procedures, rather than resist them. When everyone understands the importance of guest satisfaction, communication improves and motivation stays high. As a result, changes can be introduced more smoothly, helping Premier Inn maintain high service standards while adapting to customer needs.

Size of Organisation

The size of the organisation will influence the ability to communicate and manage change, as well as the speed of change. Considerations include:

- Number of employees
- Geographical spread
- Levels of hierarchy
- Complexity of structure

On the whole, it is more difficult to implement changes in large businesses, such as multinationals. This is because the more people there are to change, the harder it is to push change through. In a large company, such as a giant telecommunications provider, pockets of culture can form throughout the firm. If leadership then wants to push a change through, they may need to address each group in different ways. This can make decision-making extremely inefficient.

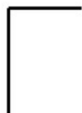


Example

In a large global business like Apple, implementing change can be challenging because of its size and international reach. With thousands of employees working in different countries, it can be difficult to ensure everyone understands and accepts new ways of working. This can lead to differences in attitudes or resistance to change across regions, making it harder to achieve consistency throughout the organisation.

Time/Speed of Change

This relates to the concept of incremental vs step changes

	Incremental Change	Step Change	
	Key Features ➤ Dramatic or radical change in one fell swoop ➤ Often required when a business has		Key Features ➤ Many small changes which take place as a business develops and responds to subtle changes in the external

Step change Occurs rapidly Types of Change Step Change - Often required when a business has suffered from strategic drift - Often involves significant alteration in the business - Gets it over with quickly / decisively May require some coercion to overcome resistance - E.g. Microsoft moving towards cloud computing	Incremental change Change occurs over a period of time in incremental stages Types of Change Incremental Change - environment Usually involves little resistance - Arises as strategy develops Often not noticed - A culture of accepting and embracing incremental change may develop - E.g. – Dyson – constantly adapting and evolving to environmental changes
---	---

The time required for a change can certainly have an effect on whether the change is successful. If change can be slower, incremental, it is more likely that a majority of staff will understand and take ownership of the change. Alternatively, if a change needs to be made quickly and this can cause significant problems if the process is not properly managed.

Example



For example, when McDonald's introduced digital self-service kiosks across its restaurants, the change was implemented gradually. This slower, step-by-step approach allowed employees to be trained properly and understand how to support customers using the new technology. As a result, the change was successful because staff took ownership of the new process. However, if McDonald's had tried to introduce the kiosks too quickly, it could have caused confusion and poor customer service.

Managing resistance to Change

Resistance can come from many different factors, internal and external. By understanding who is most likely to resist change and why, business leaders can tailor changes that are most likely to be accepted by the majority of the workforce



Knowledge recall: suggest reasons why resistance to change may occur

Reason	Explanation

What strategies can a business implement to deal with resistance to change?

Practice Question



Laxman Narasimhan's leadership transition at Starbucks

In 2023, Starbucks announced a significant leadership change, appointing Laxman Narasimhan as Chief Executive Officer, succeeding long-time leader Howard Schultz. Schultz, who had served multiple terms as CEO, was credited with building Starbucks' strong global brand and its distinctive, people-focused culture.

Before officially taking on the role, Narasimhan spent six months training and working as a barista in Starbucks stores across several countries. This move was widely praised by employees, known internally as "partners" (Starbucks' term for its staff), as it demonstrated his commitment to understanding day-to-day operations and staying true to the company's "partner-first" philosophy. Many partners expressed appreciation that the new CEO was visible, approachable, and actively engaging with staff at all levels.

Narasimhan has publicly stated that he intends to build on Schultz's legacy and is focused on improving operational efficiency, profitability, and store performance, while maintaining the company's emphasis on ethical sourcing and customer experience. Initial feedback from partners suggested optimism that the business would continue to grow without losing its sense of purpose.

However, some partners have expressed concerns about the direction of change. Narasimhan's background at multinational firms such as PepsiCo and Reckitt has led to speculation that he will be too profit-focused. There are fears that a greater focus on cost control and productivity targets could increase pressure on store employees and also lead to job losses. Also, a number of long-serving partners admitted feeling strong loyalty to Schultz and uncertainty about how new leadership might alter the company culture that has defined Starbucks for decades.



Affirmative Checking

Evaluate the extent to which there might be resistance to change at Starbucks. (20 marks)

Paragraph 1	
POINT	One reason there might be resistance to change is
	This is because...
IMPLICATION/S	This will lead to...
WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	Therefore...
	As a result, ...

Paragraph 2 POINT Another reason there might be resistance to change is This is because... IMPLICATION/S This will lead to... WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S? Therefore... As a result, ...	
Paragraph 3 POINT However, there may be limited resistance to change because This is because... IMPLICATION/S This will lead to... WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE? Therefore... As a result, ...	
Paragraph 4 POINT Another reason why there may be limited resistance to change is This is because... IMPLICATION/S This will lead to... WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE BUSINESS OBJECTIVE/S? Therefore... As a result, ...	
Conclusion:	Overall, there is likely to be/will be some/unlikely to be resistance to this change. This is because...

Success will depend on...

It is recommended that...